
❖ Horizon Asset Management, Inc. ❖

2nd Quarter 2009

Commentary

2nd Quarter Core Value Commentary

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www.hamincny.com

470 Park Avenue South • 4th Floor • New York, NY 10016
(646) 495-7333

By Steven Bregman

The composite return for the Core Value strategy year-to-date, through Friday, July 24th, was approximately 17%. A common question among many is how security prices could be expected to achieve the additional, mountainous appreciation required to again attain the price levels of 2007. Under ordinary circumstances that doubling, let us say, would require five years or longer. Yet these are no ordinary circumstances, and although it is not the purpose of this letter to address that question in particular, one might sense from some of the ensuing commentary that such returns could, extraordinarily enough, be as achievable in this environment as were the preceding valuation contractions, as extraordinary as those were.

Portfolio Additions During the Quarter

Genzyme, the biotechnology company, was established as a new position. This is the first time that the Core Value strategy has owned a ‘biotech’ company. This appellation, in the sense of a superior technological approach to new drug discovery than a traditional pharmaceutical company, or in the sense of a venture-stage, unprofitable undertaking, is no longer a differentiating term, at least for the half-dozen or so biotech companies that have achieved sustainable profitability. Certainly, the traditional drug companies have the funding capability, equipment and research talent to employ latest-generation investigative techniques. What remains a differentiating factor is the growth rate. The sheer scale of older pharmaceutical companies, with revenues on the order of \$20 to \$50 billion, has erased their former revenue growth experience, which is now typically in the mid-single digits.

The biotech companies, though, are of sufficiently modest scale that the financial productivity of their drug discovery efforts is still high. A blockbuster drug discovery of the \$1 billion revenue class would add merely 5% or so to the revenues of a Merck or Bristol Myers, but 20% to the revenues of Genzyme. Genzyme’s revenues and earnings have expanded at a near 20% annual rate for the past half-decade and, other than near-term, passing issues such as some recent supply chain and production challenges, are expected to continue to expand at a growth-company rate.

Another differentiating factor between biotech and traditional pharmaceutical companies was valuation. Genzyme was historically priced at a P/E ratio of about 30x and a price to sales ratio of about 7x. One of the virtues of the unprecedented rise in risk premiums that now characterize financial markets is that a true growth company such as Genzyme can be purchased at a value-company earnings multiple. The P/E multiple versus the company’s own recently reduced expectations for 2009 is about 14.5x, and relative to Wall Street estimates for next year (albeit these might be reduced), about 11.5x; the revenue multiple is now 3.0x. Next year’s earnings will shortly become the focus of analysts and investors.

Relative to other biotech companies, Genzyme is one of the few most deeply discounted relative to earnings, to revenues and to a somewhat unusual metric: its annual research and development expenditures. The latter measure may be thought of as a perpetually self-funded venture capital program upon which a suitable return is ultimately expected. For Genzyme this amounts to \$1.3 billion per year. Genzyme also has the most well-balanced product portfolio. The other few such companies of suitably low valuation multiples generate 50% or more of their revenues from one compound or, in the case of Amgen, almost 60% from two. Genzyme has well over 10 significant

commercialized products, the largest accounting for 30% of revenues, the two largest for less than 50%.

This product diversification is an outgrowth of Genzyme's historical strategy to avoid the intense competition to discover blockbuster drugs. Rather, it focused on certain rare genetic diseases. Its four major genetic disease compounds each treat patient populations of fewer than 10,000 people worldwide. These include the first and only treatment approved for Pompe disease, a progressive, often fatal muscle disease resulting from an inherited enzyme deficiency, and which is indicated for all patients with the disorder. These four compounds, with aggregate revenue growth of 26% last year, account for one-half of Genzyme's \$4.8 billion of revenues.

Given a year-forward P/E of about 12x and a suitable period of a few years' growth, Genzyme should produce quite satisfactory returns even absent the appropriate valuation multiple expansion. It is not required, but neither would it be unexpected, that this base return be surpassed by an acquisition. It is the surest method for a large drug company to increase its growth rate. This past October, Eli Lilly (\$20 billion of annual revenue) paid 9.4x revenues, or over \$6 billion, for Imclone, which produces the cancer treatment known as Erbitux. This past March, Roche (\$45 billion of annual revenues) completed the purchase of the 44% of Genentech it did not yet own for 7.5x trailing revenue (a over \$100 billion purchase), which amounted to 29.6x trailing earnings.

ICICI Bank is an existing position that was doubled during the quarter. In India, ICICI is one of the two or three largest: banks, life insurance companies, general insurance companies, asset managers, brokerage firms and private equity firms. Consequently, it is a natural repository of its fair share of that populace's rapid accumulation of discretionary income and savings. During the past year, neither India nor its financial system was immune to the worldwide liquidity crisis and recessionary pressures. Nevertheless, in contrast to the U.S. experience, this meant that retail credit growth slowed to 10% and GDP growth slowed to 2.2%, although service sector growth remained above 9%, deposits expanded by 20%, and as of May automobile sales had risen three months running.

Any shift from emerging market to developed market status lends itself to colorful accounts of the growth possibilities. For instance, statistics have been developed as to the proportion of GDP in various nations represented by mutual funds: in the U.S. the figure exceeds 90%, in Brazil 45%, South Korea 30%, whereas in India it is not yet 15%. Another such measure, insurance premiums as a proportion of GDP, evidences the same pattern, with the U.K. exceeding 15%, South Korea above 10%, and India at 5%. The savings rate in India is over 30%, and only somewhat more than half is in bank deposits. Accordingly, the demand growth for financial services is of large order, and will be the product of a number of multipliers, such as increased penetration of services within the market; an expanding total population/market; a yet more rapidly expanding sub-population/market of the middle class, etc. By March of next year, ICICI's banking division intends to have 40% more bank branches than were in place this past March.

There is a dual character to ICICI's valuation. The P/E ratio relative to earnings for the fiscal year ended this past March is 22x. However, this is not an economically valid ratio in that it is relative to earnings that are net of the loss generated by the life insurance division. The life insurance division recorded 13% total premium growth last year and, more importantly, a 60% increase in renewal premiums. It is clearly a valuable asset, yet paradoxically it detracts from earnings and is almost decidedly undervalued within ICICI. Certainly, the loss should not be considered a

normalized figure. There are certain set-up costs for establishing and expanding such a business and to acquire each new policy. Although these up-front costs are eventually recovered through future years' premiums, the near-term effect of ICICI's rapid expansion is that the upfront and policy acquisition costs overwhelm the income from prior years' smaller-scale activities. As well, Indian law does not allow amortization over time of policy acquisition costs. If one wished to view ICICI on a long-term going-concern basis, one would apply a normalized profitability measure to the life insurance business. A similar growth path was experienced by China Life, which generated a 15% return on equity in 2009 (exclusive of mark-to-market charges on its investment portfolio). Adjusted for its growth over the next year or two and assessing the life insurance division on a normalized basis, ICICI actually sells at a low P/E ratio.

Anglo American and the Equity Yield Curve The Anglo American position was also doubled during the quarter. Its recent price behavior lends itself to a brief review of the equity yield curve, which is central to our security selection process. The equity yield curve is analogous to the familiar bond yield curve. Generally speaking, lenders are paid progressively higher rates of interest as compensation for the various risks of committing capital for longer periods of time. Ergo, the 5-year Treasury Note generally yields more than the 2-year, the 10-year more than the 5-year, and so forth. Such a curve also exists in the stock market, but is very difficult to measure, since only under odd circumstances does a stock have a bond-like known future value associated with a known date. Sometimes this occurs, as when a specific business might be subject, by contract, to a future private market valuation precedent to a sale. When such securities can be located, it will be discovered that the yield curve becomes very steep beyond about 18 months to two years, such that by the three- to four-year mark, the discount rate is about 35% per annum. Stated differently, if equity investors are offered, through its existence in the marketplace, a stock that has a relatively assured value but not for another three years or longer, it trades at a sufficiently deep discount that the expected rate of return will be 35% or higher. This simply reflects the lack of utility to most equity investors of a return that will not be available within the standard four- to six-quarter time horizon. Therefore, one can exchange short-term valuation risk for long-term 'time risk' and, it should be expected, a superior long term return. It is why our time horizon is typically three to five years and we are less reactive to short-term vicissitudes.

Now, in March, the Anglo American shares had declined by 76% from their June 2008 high of \$35, to a low of \$8.53. The Core Value position was doubled in early April. We might well have been asked what was wrong with the company and why we didn't sell or at least reduce the position. Well, on a fundamental basis, other than the near-term impact that the worldwide liquidity crisis imposed on virtually every asset and industry (including, for the mining industry, reduced selling prices and volumes), there was no indication that the long-term profitability or viability of the mining industry was in question. Anglo American did have to sell any assets, so the properties from which it generates earnings were not diminished. Nor did the company appear to have a near-term balance sheet problem that might necessitate dilution of its assets or share base. On a longer-term basis, therefore, one should expect to observe a return to some normalized level of earnings.

Anglo American's net income in 2008 was about \$5.2 billion, in 2007 it earned about \$5.3 billion, and in 2006 it earned \$5.0 billion. Let us say that these are normalized earnings. The shares are now \$15.78, which is 85% higher than the March low. We might now be asked, conversely, if the shares are not too expensive or, alternatively, how much higher can they go? Merely to return to the prior \$35 share price, is another 100%. At the current price, Anglo American's stock market value is about \$19 billion. This is about 3.6x the historical earnings cited just above. At \$35, the

shares would be about 7x historical earnings. We leave the conclusion as to whether this is possible, feasible, or likely to the reader. Should they trade higher than that? For the time being, we also leave that to the reader. The salient point, though, is that if the risk posed by Anglo American shares is simply time risk, toward what constructive end need we be dissatisfied with the passage of 18 months or 36 months or longer for the proper valuation to be reasserted? We will ride the equity yield curve.

Self-Appointed Changes in Top Ten

Part of the monthly and quarterly statistical data put forth about the Core Value strategy is a list of the largest ten holdings. I took note, in passing, that the largest holding at June 30th, was **Hong Kong Exchange & Clearing**, whereas at December 31st, it was number 10. In the prior month, it did not even make the list. At that point, the shares had declined by 75% from their high and were extraordinarily inexpensive. However, unlike the case with Anglo American, the rise in standing was not our doing. It is merely that the shares doubled from their December price, and rose 136% from November.

Likewise, that **London Stock Exchange** made a sudden appearance on the Top Ten list, as #10, was not our doing. The shares had declined by almost 80% through mid-March of this year, which did not induce us to sell. They have risen by 35% from their December 31st price, and by almost 90% from the March low, which also does not induce us to sell. Is it too late? How much higher can they go? The London Stock Exchange Group trades at 8.9x the income earned in the year ended March 2009. Those earnings certainly reflected the negative impact of the collapse of securities prices around the world. They certainly do not reflect the possibility of a recovery of securities prices around the world.

The Exchanges – Less Talk, More Figures

These reflections about the recent price behavior of these two new Top Ten holdings mark an appropriate moment to make some observations about the recent results of the securities exchanges, and to respond to certain recurring questions about these businesses. This will be a different discussion than the business model analysis and theorizing that has characterized much of our writing about exchanges during the past three years.

Profitability

First, as to profitability, we wrote frequently last year, as the credit crisis wreaked havoc upon the financial system broadly and the equity markets specifically, that the daily transactional activity of the exchanges appeared to remain fairly robust. There were, of course, somewhat mixed results reported from the exchanges, and a certain degree of earnings diminution was inevitable, particularly in Europe and Asia, as exchanges in these regions adopt the ad valorem method of pricing, which bases fees on the market value of the transaction. Clearly, as equity markets fell by 50% in nearly every region of the world last year, such companies would be expected to report a larger degree of revenue diminution than would an exchange that bases its fee structure on volume alone. This latter pricing method is almost exclusively used by the U.S. exchanges.

With over one year of data in hand, the draconian margin compression scenario so widely expected to occur last year, and especially this year during recession, has not appeared. The most recent profit margins of the exchanges in the Core Value strategy are presented below.

	<u>Operating Profit Margin</u>	
	<u>Fiscal 08</u>	<u>Fiscal 07</u>
CME Group (1)	42.5%	39.4%
Hong Kong Exchange	78.5%	85.7%
London Stock Exchange (2)	50.4%	52.9%
Nasdaq OMX Group	17.5%	15.0%
NYSE Euronext	18.1%	16.3%

(1) Before amortiz of purchased intangibles & impairment of long-term investment

(2) Fiscal March 09 and 08. Before amortization of purchased intangibles and goodwill impairment charge

Undoubtedly, these companies mostly reported lower earnings versus year ago periods. Yet, the current and reduced level of profitability still remains extraordinarily high relative to general corporate profit margins, perhaps the highest of any other industry. If it were remarked last year that a group of companies dependent on the health of the capital markets would be able to sustain 20%-75% operating margins throughout the credit crisis and any recessionary effects that would follow, this most likely would have been met with abundant laughter (or derision).

Given their resiliency throughout one of the worst operating periods for financial companies in history, as well as our expectation for their future prospects, we maintain a large weighting in this sector.

Competition

Among the most frequent questions, if not criticisms, is that of competition among the exchanges. Yet by a universal standard, there is much less competition today than there was only a few years ago. What would be the typical reaction if an investor could somehow be given foreknowledge that the constituents of a given industry would undergo a massive consolidation, to the degree that perhaps 20 or more competitors would be absorbed into five? It has happened already in the North American securities exchange market. Three years ago, the following exchanges existed independently; it is not an all-inclusive list:

Exchange

New York Stock Exchange
 American Stock Exchange
 CBOT Metals Complex
 Archipelago
 International Securities Exchange
 NASDAQ Stock Exchange
 Philadelphia Stock Exchange, Inc.
 Boston Stock Exchange, Inc.
 International Derivatives Clearing Group
 Chicago Mercantile Exchange
 Chicago Board of Trade
 NYMEX
 COMEX
 Swapstream
 Intercontinental Exchange
 New York Board of Trade
 Winnipeg Commodity Exchange
 Toronto Stock Exchange
 Montreal Exchange
 Boston Options Exchange
 Oxen, Inc. (owner of Albert Watt Exchange)

General Orientation

Large-capitalization stocks
 Stocks, options, ETFs
 Precious metals (options, futures)
 All-electronic exchange for equities, options, futures
 All-electronic options exchange
 Over-the-counter stocks
 3rd largest U.S. options market
 License for trading equities, options, and clearing license
 OTC Interest Rate Swap Futures
 Currency, interest rate, commodities futures
 Agricultural and U.S. Treasury futures and options on futures
 Energy futures and options
 Metals futures and options
 Global, OTC, electronic trading platform for interest rate swaps
 Energy futures and options
 "Soft" commodities exchange (e.g., sugar, coffee)
 Leading canola market
 Stock exchange
 Derivatives exchange
 Options exchange
 Electric power exchange

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Today, 76% of the constituents of that list has been acquired by four North American exchanges, and one European exchange, as shown below. This next list does not include the acquisitions by NYSE of Euronext, or by Nasdaq of Norway's OMX, Nord Pool, the International Derivatives Clearing Group, or the European Multilateral Clearing Facility, and it does not include comparable acquisition activity in the rest of the world.

<u>NYSE Euronext</u>	<u>Acq. Date</u>	<u>Intercontinental Exchange</u>	<u>Acq. Date</u>
American Stock Exchange	Oct-08	New York Board of Trade	Jan-07
CBOT Metals Complex	Mar-08	Winnipeg Commodity Exchange	Aug-07
Archipelago	Mar-06		
<u>NASDAQ OMX Group</u>		<u>Toronto Stock Exchange</u>	
Philadelphia Stock Exchange, Inc.	Jul-08	Montreal Exchange	May-08
Boston Stock Exchange, Inc.	Aug-08	Boston Options Exchange	Aug-08
International Derivatives Clearing Group	Dec-08	Oxen, Inc.	2007
<u>Chicago Mercantile Exchange</u>		<u>International Securities Exchange</u>	May-07
Chicago Board of Trade	Jul-07	(Acquired by Deutsche Boerse)	
NYMEX	Aug-08		
COMEX	Aug-08		
Swapstream	Aug-06		

A more pointed criticism of exchanges as an investment is the loss of market share by major exchanges, such as by the London Stock Exchange, NYSE Euronext and others. Such figures are reported monthly, along with other statistics, by many of the exchanges. And it is true. There is unquestionably a loss of market share by many exchanges, sometimes of large magnitude, and it has been occurring almost without surcease for a long period of time. Witness the severe loss of market share by the New York Stock Exchange in stock trading volume during the past several years; it is virtually monotonic in its decline, and since 2005 amounts to about 38% points, from over 80% to under 45%:

NYSE Handled Volume Market Share % of Consolidated NYSE Volume						Loss, % Pts (2005-2009)
	2005	2006	2007	2008	2009	
December	77.8%	69.1%	59.7%	47.9%		
November	78.3%	69.8%	60.1%	47.4%		
October	79.7%	70.9%	60.3%	47.7%		
September	79.8%	71.2%	62.2%	46.7%		
August	80.0%	71.8%	65.5%	46.5%		
July	80.1%	74.2%	66.3%	48.3%		
June	81.5%	76.5%	68.7%	51.0%	43.5%	-38.0%
May	81.0%	76.9%	68.1%	51.8%	42.9%	-38.1%
April	82.9%	75.5%	68.5%	53.6%	43.4%	-39.5%
March	81.7%	76.1%	69.9%	56.2%	44.7%	-37.0%
February	81.6%	77.5%	69.9%	58.0%	46.5%	-35.1%
January	82.3%	76.6%	69.0%	58.4%	46.9%	-35.4%

Witness also, though, the following table, over the same time frame; it describes a surprisingly consistent sequential climb in trading volume, amounting to nearly 15% per year:

NYSE Handled Volume (millions of shares)						
	2004	2005	2006	2007	2008	2009
December	33,222	34,546	34,669	39,241	52,300	
November	32,357	36,467	40,848	52,835	54,921	
October	33,313	40,956	41,763	47,107	77,383	
September	28,438	36,986	36,732	38,123	66,768	
August	27,924	34,670	38,115	64,319	42,443	
July	30,335	30,886	36,737	50,009	60,956	
June	29,370	34,698	44,981	48,271	50,215	50,612
May	30,574	32,894	44,579	46,458	42,329	55,731
April	32,780	36,907	34,464	41,273	46,508	59,622
March	34,764	38,265	40,828	50,004	53,429	72,400
February	28,815	30,882	32,102	38,890	45,877	55,589
January	34,204	33,360	39,760	41,869	60,780	50,390
Total	376,096	421,517	465,579	558,400	653,910	344,346
<i>% Change</i>		12.1%	10.5%	19.9%	17.1%	15.1%

We described this phenomenon in a *Studies in Absurdity* review in September 2006. Lest this seem a product of an anomalous few years, the abbreviated table below describes the share volume growth at the New York Stock Exchange over the past nearly 50 years since 1960. On a decade-by-decade basis, the result is remarkably consistent at nearly 15% per annum (the subdivision of the 2000 to 2008 period is due to the change in tabulation method between the NYSE and Euronext upon their merger).

New York Stock Exchange Annual
Share Volume Expansion:

1960 - 1970	14.4%
1970 - 1980	14.5%
1980 - 1990	13.3%
2000 - 2003	10.3%
2004 - 2008	14.8%

This would seem counter-intuitive relative to our understanding of most industries, for which there operates a zero-sum game for instantaneous changes in market share. For instance, if a more dynamic personal computer manufacturer or soda company were to increase its volumes by 15% in a given year, and if total market demand growth were the normal 2% or 3%, then its various competitors would have collectively lost about 13% points of market share during that year.

This odd behavior among securities exchanges is even starker in an entirely different security type, options. The following tables depict the both the trading volume of the entire U.S. options industry since 1973, and the market share of the Chicago Board Options Exchange during that period. The first year is particularly interesting, since the CBOE market share in 1973 was 100%. It will be noted that it has since lost 67% of its market share. It will also be noted that its trading volume during one of the sub-periods when its market share actually rose, the 1980 to 1990 decade, increased by less than 10% per year. Its market share during the next decade remained relatively flat and, again, its transaction volume grew by less than 10% per year. However, between 2000 and 2008, its market share dropped dramatically, and its transaction volume rose dramatically, on the order of 36% per year. In 2008, volumes rose by 26%. The same sorts of results might be produced for trading in financial futures or commodities.

Whatever one might say about securities exchanges, the empirical data, whether employing a multi-decade time frame or examining the tumultuous past two years, does not support the notion that market share and volume growth are mutually exclusive; if anything, the results are consistent with the opposite viewpoint, that competition is associated with increased volumes.

**Historical Options Industry Volume
1973 - 2008**

<u>Annualized Growth</u>	
1980 - 1990	8.1%
1990 - 2000	13.2%
2000 - 2008	22.0%
2005 - 2008	42.5%
2007 - 2008	36.9%

**Total CBOE Options Contract Volume
1973 - 2008**

<u>Annualized Growth</u>	
1980 - 1990	9.4%
1990 - 2000	9.7%
2000 - 2008	17.6%
2005 - 2008	36.6%
2007 - 2008	26.4%

Year	Total Industry Options Volume
1973	1,119,245
1974	5,682,907
1975	18,103,018
1976	32,373,925
1977	39,637,328
1978	57,231,018
1979	64,264,863
1980	96,728,546
1981	109,405,782
1982	137,306,205
1983	150,056,075
1984	196,437,361
1985	232,910,547
1986	289,211,135
1987	305,168,935
1988	195,948,591
1989	227,016,660
1990	209,922,748
1991	198,801,600
1992	201,995,757
1993	232,662,095
1994	281,382,402
1995	287,296,909
1996	294,797,702
1997	353,823,118
1998	406,343,198
1999	507,891,483
2000	726,727,939
2001	492,615,219
2002	457,717,950
2003	535,143,977
2004	815,899,814
2005	1,234,309,674
2006	1,705,689,052
2007	2,611,445,719
2008	3,574,445,814

Year	Total Volume	Yr/Yr Change	% of Industry Vol
1973	1,119,177		100%
1974	5,682,907	408%	100%
1975	14,431,023	154%	80%
1976	21,498,027	49%	66%
1977	24,838,632	16%	63%
1978	34,277,350	38%	60%
1979	35,379,600	3%	55%
1980	52,916,921	50%	55%
1981	57,584,175	9%	53%
1982	75,735,739	32%	55%
1983	82,468,750	9%	55%
1984	123,273,736	49%	63%
1985	148,889,091	21%	64%
1986	180,357,774	21%	62%
1987	182,112,636	1%	60%
1988	111,784,045	-39%	57%
1989	126,765,253	13%	56%
1990	129,500,018	2%	62%
1991	121,689,918	-6%	61%
1992	121,467,604	0%	60%
1993	140,348,955	16%	60%
1994	183,934,483	31%	65%
1995	178,533,465	-3%	62%
1996	173,944,877	-3%	59%
1997	187,243,741	8%	53%
1998	206,865,991	10%	51%
1999	254,331,851	23%	50%
2000	326,359,531	28%	45%
2001	306,667,851	-6%	62%
2002	267,616,496	-13%	58%
2003	283,946,495	6%	53%
2004	361,086,774	27%	44%
2005	468,249,301	30%	38%
2006	674,735,348	44%	40%
2007	944,471,924	40%	36%
2008	1,193,355,070	26%	33%

Perhaps there is a special form of Moore's law that operates for securities exchanges, a sort of Securities Exchange Moore's Law. (Intel co-founder, Gordon Moore noted in a 1965 paper that since the invention of the integrated circuit in 1958, the number of transistors that could be economically placed on an integrated circuit had increased exponentially, doubling roughly every two years. That phenomenon has continued for the almost one-half century since that paper's publication.)

What could be the various enabling factors for exchange volumes, analogous to the process, physical chemistry and engineering advancements that facilitate the operation of Moore's law? First, it should not be ignored that the mere expansion of the world economy, business activity, corporate profits and private savings will result in an expansion of the market capitalization of companies and the number of shares that can be traded, and of the volumes of commercial exposure that must be hedged via futures contracts, and so forth. Beyond that, it would appear that virtually any development in regulations, technology, portfolio or trading practice, or product innovation that lowers a barrier to trading, whether it is via increased transaction speed, lower transaction costs, better or more diverse tools for hedging, diversifying, reducing risk or acquiring risk, will invite more trading. Accordingly, one could hardly list all of the variables that have historically contributed to trading volume expansion in the absence of a comprehensive study.

As to future innovations, some of these can only be imagined – and they will be imagined. We believe that the pace of innovation has accelerated and that securities exchanges are now at the doorstep of a golden age. We might examine a few that are right now in the process of explosive development, in a future communication.

While the current economic environment is not without its challenges, we continue to believe the current investment environment offers a once in a generation opportunity for the long-term investor. The prior comments attempt to demonstrate there are companies that have only experienced share price compression in the past year, not fundamental diminution of value. Accordingly, we continue to monitor our businesses, as well as search for new ideas. We remain committed to our belief that the patient, long-term investor will ultimately be rewarded with superior returns.

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